

The Palm™ Device Economy

Peripheral and Accessory Product Development Opportunities with Palm Computing

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The Palm™ Device Economy

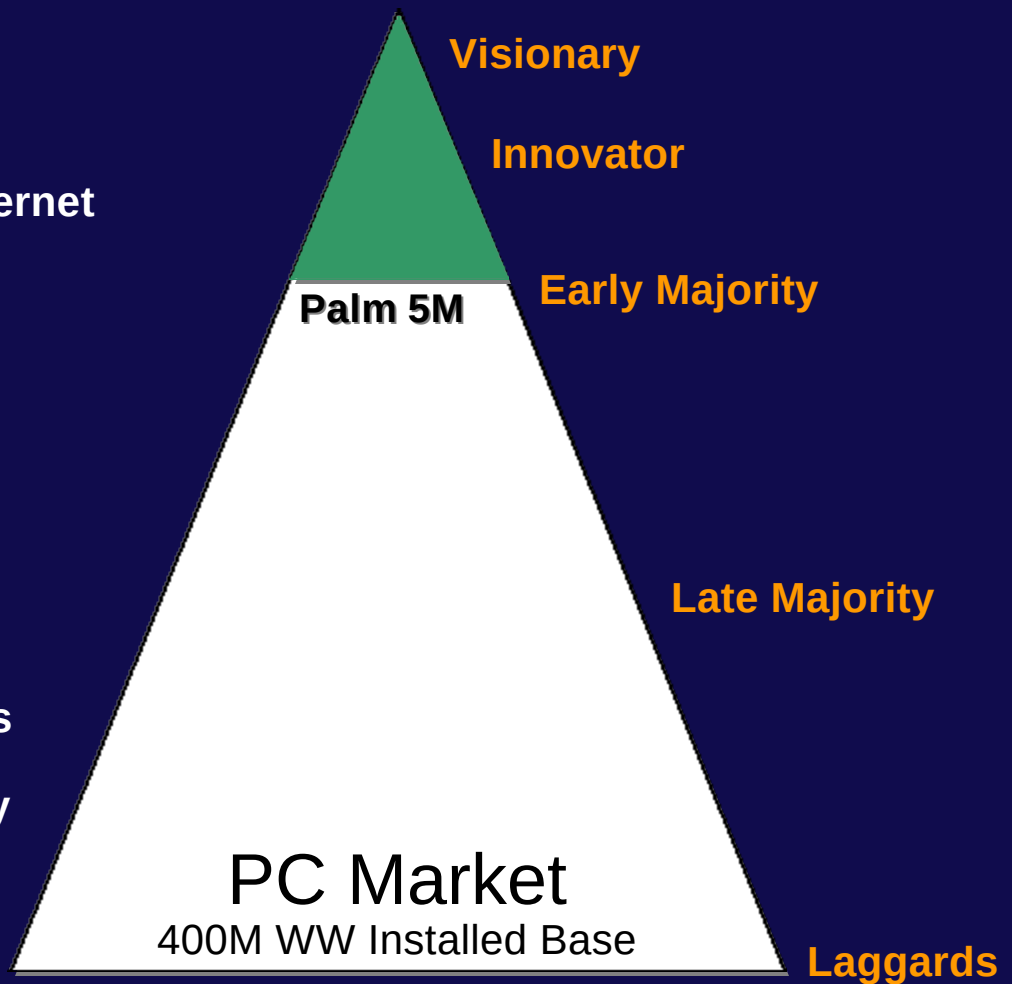
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- Market Overview
- The Palm™ Device Economy = Opportunity
- Demonstrations—Device Economy in Action
- Device Economy Business Models
- Palm Device Developer Commitment
- Developing Palm Peripherals

Market Overview— Palm Customers Today

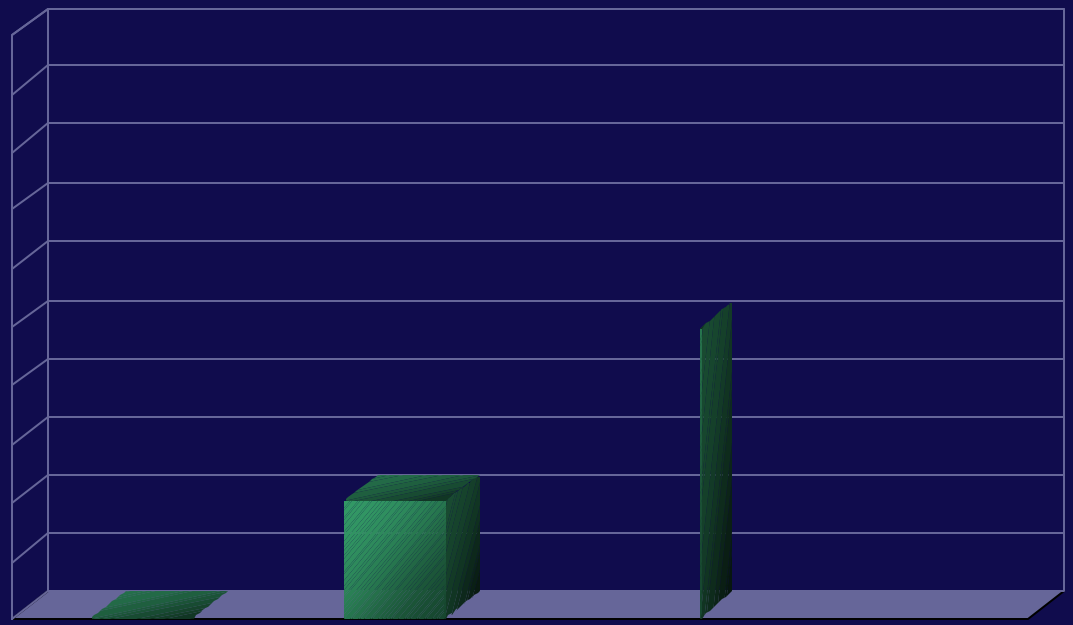
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- Male (85%) with average age 42
- Earning $80,000 (personal income)
- Very connected
  - All use computers, e-mail, Internet
  - 80% have mobile phone
  - 50% use a pager
- 20% in technology industry
- Common Occupations
  - Engineer/Scientist
  - Sales/Marketing
  - Consulting, MIS, Executive
- Purchasing Behavior
  - 50% bought w/ personal funds
  - 25% expensed it
  - 10% provided by the company
- 75% have visited the Palm Website



Accessory / Peripheral Market Size

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The Mobile Digital Landscape

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Digital Video Cameras



Digital Cameras



GPS Systems



Digital Voice Recording



Mobile Computing Notebook & Sub PC



Handheld Computing





2 Way Pager



1 Way Pager



Digital Audio (MP3, CD, Tape)





Calculators



Digital Gaming



Electronic Diary



Electronic Organizer



Digital Watches



Digital Phones



The Palm™ Device Economy

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- What is the "Palm™ Device Economy?"
  - Opportunity!
    - Consumer peripherals and accessories
    - Vertical markets
    - Enterprise solutions
- Opportunity for Peripheral Developers
  - Installed base: Over 5 million Palm devices sold to date
  - Over 500 Palm Hardware developers
  - Over 3 million Accessories and Peripherals sold over the last three years (est.—Palm branded and 3rd party)

Palm's Role in the Palm™ Device Economy…

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- To continue to provide Palm™ branded devices, accessories and peripherals…
  - But, we can't do it all (nor do we want to)
- To guarantee an attractive product line is available to new customers
- To insure overall growth of the Palm device economy…which can't be done without you!
- A few examples of the Palm device economy in action…

The Device Economy in Action

- Demonstration 1: Digital Audio Player
  - Simple MP3 player
  - Uses Palm V™ modem plastics kit
  - Quick-turn prototype, using our own HDK and 3rd party tools
  - THIS IS NOT A PRODUCT!!!!!!!!!!!!!!
  - A question for you…



The Device Economy in Action (Cont.)

- Demonstration 2:
  "Parachute" adapter, Unilinear, Corp.



  - PCMCIA adapter for Palm III™ family
  - Example of an typical enterprise solution
  - Enabler for vertical solutions
  - Hardware and Industrial Design Considerations
  - Software Considerations
  - Great example of Device Economy in Action!

Device Economy Business Models

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- Palm offers Several Business Models for Developers…

through Palm

- Reselling Opportunities
- Co-branding Opportunities
- OEM Opportunities
- Co-development Opportunities
- Software Opportunities (with Palm™ devices)

Independently

- Hardware Developer's Program

Reselling Opportunities

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- Examples: Dooney & Bourke and Coach leather cases, Cross styli/pens
- Palm resells products with known brand name
- Products sold through Palm's direct channel (Palm.com, 800#, Fax)
- Market need and potential for product must be established
- Product is different from Palm's current product offerings



Co-branding Opportunities



- Example: PalmGlove™ cases (Palm and BodyGlove)
- Palm and 3rd Party brands on product and packaging
- Distributed and sold internationally by both companies
- Market need and potential for product must be established
- 3rd party developer usually has recognized or established brand in target space

OEM Opportunities

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- Examples: Palm V™ device hard case, Dual-Action Stylus
- Product created and manf'd by 3rd party developer
- Palm™ brand on product and packaging
- Distributed and sold internationally through Palm's retail and distribution channels
- Market need and potential for product must be established
- Product is compelling and different from Palm's current offerings

Co-development Opportunities

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- Example: Ethernet Cradle (Partner: Symbol)
- Product developed in collaboration with 3rd parties
- Leverage 3rd party technology, manufacturing capability, or other core competency
- Distributed as a Palm™ branded product
- Must have demonstrated core competency (technology, design, or manufacturing capability)

Software Opportunities

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- Examples: PocketMirror Outlook Conduit (Partner: Chapura), HotSync® server (Partner: Riverbed)
- New device applications (prc & pqa's), desktop conduits and server conduits
- Clearly identified the end-user requirements
- Desirable to a large percentage of the market
- High-quality and Platinum certified

Hardware Developer's Program

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- HDK program, technical support, supplier and components:
  - Access to proprietary connectors and cables
  - Casing and components of Palm™ modems
  - Drawings and IGES 3D CAD files
  - Interface specifications
- Learn more details in 124 "Developing Peripherals"
- InSync Online

Hardware Developer Opportunities

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- There are lots of opportunities using the latest HDK
  - 100's of developers already using the HDK
  - Even more ideas are still waiting to be built
- Add-on ideas:
  - Obvious Serial things
    - Modems, scanners, keyboards, printers, sensors/data collection
  - Not so obvious
    - Wireless (Bluetooth, Pagers, GPS, GSM, etc.), Adapters (Multi-Media Cards, Compact Flash, etc.), Voice (Recorders, Recognition, Synthesis), Music, Cameras, Games & Interfaces, Flash (eBooks, Maps, Travel Guides, Backup), *and much much more!*

Commitment to Developers

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- We are committed to helping hardware developers create new, successful solutions that leverage the Palm™ Device Economy

- Enhancing Hardware Developer support team
  - Marketing/evangelist
  - Electronic Engineer
  - Mechanical Engineer
  - Developer Support

Developer Benefits

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- Greater access to information
- Faster time to market
- Focused Technical Support
- Enhanced development process
- Enhanced promotional tools for developers
  - Example: Palm.com—‘Hardware Connections’
- Even more opportunities for success!

Developing Palm Peripherals

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- How to participate
  - Register as a Developer!
    - Follow links @ www.palm.com/devzone
    - HDK program, technical support, supplier and component access
- Sign-up today at the Palm Computing Booth
  - Fast turn-around time
  - Technical Support
  - Peripheral and Accessory showcase
- Session 124, Developing Peripherals
  - Thursday, 3:30pm, Room 209/210


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